Where will growth come from? Reallocation, the missing factor in Hungary

Executive summary of the research note

The message. Hungary needs to reduce a large budget deficit, expected at 7.5% of GDP in 2026, and is looking for growth that does not cost the budget. One such source is already in the economy. Aggregate productivity grows when firms improve, and also when workers and capital move from less productive to more productive firms, including through entry and exit. In Hungary this second channel, reallocation, has weakened, and productivity gaps between firms did not narrow as they did in Poland and the region. Economic policy that gives firms more room to grow, shrink, enter and exit could mobilise this reserve.

Growth that does not cost the budget: a reserve in how resources are allocated

What we found (balance sheets of all Hungarian double-entry firms, 2004–2023; CompNet data for Poland and the CEE region):

- **Gaps between firms stayed wide.** By the late 2010s, productivity gaps between firms in the same industry were wider in Hungary than in Poland and the CEE region on every measure we have, by about 0.1 on a spread of around 0.7. On our main measure, Poland's gaps were close to those of the old EU member states. In Hungary they did not narrow after 2019.

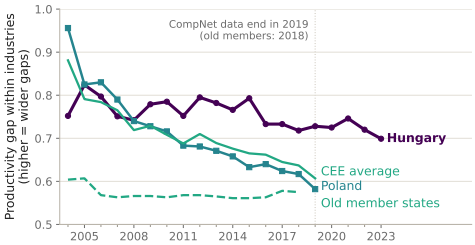
Exercise 1: Hungary's gaps about 0.1 wider than Poland's, on every measure

- **Resources moved less.** Workers moving to more productive firms, and weak firms exiting, added 1.6 percentage points a year to productivity growth in 2004–2013 and 0.8 in 2013–2022, a fall of almost half. About two-thirds of the fall comes from foreign-owned firms, which stopped expanding at the expense of less productive domestic firms. Since 2013, productivity growth has come mostly from firms improving themselves.

Exercise 2: from 1.6 to 0.8 points of growth a year

- **The reserve is sizeable.** If allocation only returned to its 2004–2010 state, a standard model suggests that the same workers and capital would produce about 1–2% of GDP more: a one-off rise in the level of output that then persists. Reached over five years, this is 0.2–0.4 percentage points of extra growth a year.

Exercise 3: 1–2% of GDP, a one-off rise in output



Spread of firm TFP (standard deviation over mean) within two-digit industries, firms with 20+ employees; higher = wider gaps. Hungary: own data. Poland, CEE average (2004 joiners, incl. Hungary) and old member states (nine EU-15 countries): CompNet, to 2019.

What this suggests. Reallocation works when markets allow productive firms to grow and weak ones to shrink or exit. The research on misallocation points to rules that apply equally to all firms, open entry and competition, sector-specific measures that affect profit margins, such as price caps, only temporarily, and no barriers to exit. None needs a new spending programme, though removing special levies costs revenue. Better allocation does not mean the state picking which firms should grow, and even well-founded subsidies, such as for research, should be weighed against their unintended effect on allocation. Our evidence is descriptive: it shows that allocation did not improve, not which policy is responsible.

Equal rules, open entry and exit; not the state picking the firms that grow

Details, methods and robustness checks: the research note (draft v0.9, 10 November 2026), https://gaborbekes.com/policy/